DEPARTMENT EIGHT
JUDGE WENDY GETTY
707-207-7308
TENTATIVE RULINGS SCHEDULED FOR
WEDNESDAY, JULY 29, 2026

The parties may appear via Zoom with the exception of trials, trial management conferences, order for examinations and mandatory settlement conferences. The information for the Zoom meeting is set forth below.

The tentative ruling shall become the ruling of the court unless a party desiring to be heard contacts the judicial assistant of the department hearing the matter by 4:30 p.m. on the court day preceding the hearing, and further advises that such party has notified the other side of its intention to request a hearing. A party requesting a hearing must notify all parties of the request to be heard by 4:30.

In the Matter of UniFirst Corporation,
Case No. CL25-07704

Petition to Confirm Arbitration Award

TENTATIVE RULING:

The unopposed petition to confirm the arbitration award is GRANTED.

SHAKE SHATTER & ROLL LLC et al. v. KOLABORATION VENTURES CORPORATION et al.
Case No. CU25-09387

KOLABORATION Defendants' Demurrer to WEISS's Cross-Complaint

TENTATIVE RULING

Cross-Defendants KOLABORATION VENTURES CORPORATION ("KVC"), CHARLES M. WESLEY, MARTIN C. WESLEY, and ANDREW C. WESLEY (together "Demurring Defendants") demur to the cause of action within Cross-Complainant PAUL WEISS's ("WEISS") cross-complaint (the "WEISS XC") alleging fraud. Summarized, the WEISS XC alleges that Demurring Defendants misrepresented their intentions in acquiring ELEVATION ENTERPRISE LLC ("EE"), a company of which WEISS was CEO, fabricated reasons for not fully performing under the EE purchase agreement, and misrepresented the state of KVC to WEISS when negotiating his employment at KVC following the purchase.

The court has not received opposition to the demurrer.

Legal Standard on Demurrer. "The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc*. (2004) 118 Cal.App.4th 1413, 1420.) A complaint must allege facts sufficient to establish every element of each cause of action. (*Rakestraw v. California Physicians' Service* (2000) 81 Cal.App.4th 39, 43.) A complaint is sufficient if it alleges ultimate rather than evidentiary facts, but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id*. at 1098–1099; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 551, fn. 5 [ultimate facts sufficient].) The Court "assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Analysis. The elements of a cause of action for fraud via intentional misrepresentation are: (1) misrepresentation, (2) knowledge of falsity, (3) intent to induce reliance, (4) justifiable reliance on the misrepresentation, and (5) resulting damages. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) Allegations of fraud involve a serious attack on character and so are held to a higher standard of specificity than other allegations of wrongdoing. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216-217 (*Children's Television*).)

The allegations directly under the heading "fraud" in the WEISS XC, comprising paragraphs 82-91, are vague and conclusory. Construing the earlier stated factual allegations of the complaint the court observes that WEISS alleges several misrepresentations collectively from Demurring Defendants. WEISS alleges that they told him KVC was in good financial shape, when KVC was in fact financially distressed. WEISS alleges he was told that after he was hired at KVC he would receive stock options. WEISS alleges that during the EE purchase negotiations Demurring Defendants agreed that KVC would service EE's debts, which KVC refused to later do. WEISS also alleges that during close of the EE purchase KVC fabricated reasons for failing to deliver the full purchase price. WEISS makes no distinction between the individual defendants.

WEISS does not state facts showing how he relied on any of these alleged misrepresentations *to his detriment*. The alleged failures to service EE's debts and deliver full payment for EE are not shown to be harms to WEISS. The alleged misrepresentations of KVC's financial health are likewise not harms to WEISS. WEISS does not allege that he was actually denied promised stock options, or that he was otherwise harmed by accepting employment with KVC, and so does not state detrimental reliance on a misrepresentation in that regard either.

Relatedly, WEISS's fraud claims all appear rooted in breaches of contract and are thus barred under the economic loss rule. WEISS directly alleges fraud in that he is "entitled to the value of the benefit of his bargain had said bargain been fully and properly performed." (WEISS XC at ¶ 90.) Contract actions are meant to vindicate the rights of parties to a contract while tort actions exist to vindicate social policy. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 19.) The economic loss rule operates to avoid drowning the law of contract in the expansive sea of tort recovery. (*Id*. at p. 20.) The rule holds that there is no recovery in tort for purely economic losses, meaning financial harm unaccompanied by personal or property damage. (*Ibid*.) To avoid the rule a claimant seeking tort recovery for breach of a contract duty must show that the defendant's conduct violated a duty independent of the rights and duties assumed under the contract and the defendant must have caused injury to persons or property not reasonably contemplated by the parties when the contract was formed. (*Id*. at ¶¶ 21-22.) Where an alleged breach is based on failure to perform as a contract provides and the parties reasonably anticipated and allocated the risks associated with the breach the action will generally sound only in contract because the breach deprives an injured party of the benefit for which it bargained. (*Id*. at ¶ 27.)

WEISS alleges only conduct falling under the economic loss rule because he expressly alleges "fraud" in that Demurring Defendants breached the EE purchase agreement and his contract of employment, denying him the benefits of bargains.

Leave to Amend. Leave to amend is proper where identified defects are amenable to cure. (*Vaccaro v. Kaiman* (1998) 63 Cal.App.4th 761, 768.) It is the pleading party's burden to show the trial court that a reasonable possibility exists that amendment can cure identified defects in that party's pleading. (*Murphy v. Twitter, Inc.* (2018) 60 Cal.App.5th 12, 42.) WEISS not having filed opposition, he does not indicate a reasonable possibility that amendment can cure identified defects.

Conclusion. Demurring Defendants' unopposed demurrer to the cause of action for fraud plead in WEISS's cross-complaint is SUSTAINED WITHOUT LEAVE TO AMEND.

Rosamaria Guadalupe Campos-Alvarez et al. v. Humberto Espinoza, et al.
Case No. CU26-01890

Petition to Approve Minor's Compromise (A.A.)
Petition to Approve Minor's Compromise (D.A.)

<u>TENTATIVE RULING:</u>

The petition to approve the compromise of minor A.A.'s claims is GRANTED.

The petition to approve the compromise of minor D.A.'s claims is GRANTED.

THOMAS v. NEWREZ LLC, et al.
Case No. CU26-03486

Demurrer by Defendant NEWREZ LLC, dba Shellpoint Mortgage Servicing, to Complaint

<u>TENTATIVE RULING</u>

The demurrer by NEWREZ LLC dba Shellpoint Mortgage Servicing ("SHELLPOINT") to Plaintiff's complaint is SUSTAINED WITH LEAVE TO AMEND.

Preliminarily, the court recognizes that Plaintiff attempted to amend his complaint by filing an amended complaint and by filing a motion for leave to amend. A first-amended complaint can be filed while a demurrer is pending, provided that the pleading is filed before an opposition is filed or before an opposition is due. The court recognizes Plaintiff's efforts to separately provide the exhibits referenced in the complaint that were not attached to the defense.

First Cause of Action - Real Estate Settlement Procedures Act ("RESPA")

An action for actual and possibly also statutory damages of up to $2000 can be filed against a loan servicer who fails to provide a timely written response to a proper notice of error sent to it by a borrower. (*Medrano v. Flagstar Bank, FSB* (9th Cir. 2012) 704 F.3d 661, 665.)

The goal of the Real Estate Settlement Procedures Act ("RESPA"; 12 U.S.C. § 2601 et seq.) is to allow borrowers to obtain accurate and detailed information about their loans, and protect against abusive practices and unnecessarily high charges. The request by a borrower for loan servicing information has to reasonably identify the account and provide enough for the loan servicer to know what information is being sought, or amounts being challenged. (*Id*. at 665-666.)

The "written inquiry" requirement is not met by Plaintiff's complaint, which fails to either attach the Notices of Error as referenced or adequately summarize the notices in the complaint itself in order to state a cause of action.

Further, Plaintiff does not allege actual damages. Notably, a lender's failure to respond to a notice of error does not by itself give rise to a basis for recovery. 12 C.F.R. §1024.35, the federal regulation adopted for RESPA, authorizes recovery of damages only when a loan servicer furnishes adverse information to any consumer reporting agencies regarding any payment that is the subject of a borrower's notice of error, within 60 days of receiving that notice. Importantly, it does not stop a loan servicer from instituting or even completing foreclosure proceedings.

Plaintiff's complaint does not allege that SHELLPOINT furnished adverse information to any consumer reporting agency within 60 days of its receiving any of the (insufficiently described) Notices of Error. Instead, the complaint generally alleged damages because

"Defendants initiated and continued foreclosure activity while the NOEs were pending", and did not "acknowledge, investigate, and respond to these Notices of Error". A pending nonjudicial foreclosure does not by itself adequately plead actual damages. (See e.g. *Wanger v. EMC Mortgage Corp* (2002) 103 Cal.App.4th 1125, 1137.) Statutory damages are not allowed absent actual damages. (See 12 U.S.C. § 2605(f)(1)(B) ["additional damages"].)

Thus, for multiple reasons, SHELLPOINT's demurrer to the RESPA cause of action is sustained with leave to amend.

Second Cause of Action - Unfair Business Practices

Business & Professions Code §17200 defines an unfair business practice as including "any unlawful, unfair or fraudulent business act or practice".

A claim of an unfair act or practice can be predicated on public policy, but "the public policy which is a predicate to the action must be 'tethered' to specific constitutional, statutory or regulatory provisions." (*Aleksick v. 7-Eleven, Inc.* (2012) 205 Cal.App.4th 1176, 1192.)

The accurate crediting of mortgage loan payments, and the avoidance of charging unjustified late fees, would appear to be public policies promoted by RESPA.

Still, unless and until the operative complaint alleges or attaches documents to more specifically identify the unlawful or unfair business act or practice being challenged, this cause of action has not been properly plead. Further, to have standing to bring an unfair business practices cause of action, a plaintiff must allege that they lost money or property from the illegal or unfair act. Business & Professions Code §17204.

If a pending nonjudicial foreclosure is due to a default on the mortgage loan, and the default was not caused by the allegedly illegal or unfair act, the causation element for the loss of money or property is still missing. (*Jenkins v. JPMorgan Chase Bank, N.A.* (2013) 216 Cal.App.4th 497, 523, [because the plaintiffs' home was subject to nonjudicial foreclosure because of default occurring before the defendants' alleged wrongful acts, the defendants' demurrer to the unfair business practices cause of action was sustained]; overruled in part, on other grounds, by *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, 939.)

Remedies available under an unfair business practices cause of action are limited to injunctive relief and restitution. Business & Professions Code §17203.

Plaintiff's complaint [¶31] and prayer [¶¶1 and 2] include allegations of entitlement to injunctive relief, although the latter seek only the halting of the foreclosure activities. While the court earlier denied Plaintiff's ex parte application for issuance of a TRO and OSC re preliminary injunction, if this case proceeds to trial before completion of the nonjudicial foreclosure, a permanent injunction is still a potential remedy.

Opportunity to Amend

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245).

The court cannot find definitively that there is no possible opportunity to amend the complaint to state a cause of action. Plaintiff's opposition lists 10 possible categories of items that Plaintiff may amend.

While the missing attachments and/or lack of specificity in allegations in the complaint preclude the court from finding any valid cause of action alleged against SHELLPOINT, because of the reasonable possibility Plaintiff could amend to allege some actionable conduct by SHELLPOINT as to the crediting of mortgage payments made and the charges imposed against them, the court sustains SHELLPOINT's demurrer to Plaintiff's complaint with 30 days for Plaintiff to file a first amended complaint, to remedy these deficiencies.

Given the complexity of law in this area, and the risk that nonjudicial foreclosure will be completed before trial of this case, the court urges Plaintiff to consult legal counsel.

Department 8 is inviting you to a scheduled ZoomGov meeting.

https://solano-courts-ca-gov.zoomgov.com/j/1619704645?pwd=aUwyYUFUcU5Eazl6SEkrcmcrRnRLUT09

Meeting ID: 161 970 4645
Passcode: 675002